ICT2142 E- Business Systems

Lecture 02

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E-Business Models and Digital Value Creation

Objectives

- Define a business model and explain its main components.
- Distinguish between traditional and digital business models.
- Explain B2B, B2C, C2C, C2B, B2A, C2A e-business models.
- Explain how platform-based business models operate.

Objectives

- Describe subscription, freemium, on-demand, and marketplace models.
- Explain digital value chains and network effects.
- Identify appropriate business models used by real-world digital businesses.

What is a Business Model?

A business model is a company's **core strategy** for how it **creates, delivers, and captures value**.

It outlines

- ✓ what product or service is sold
- ✓ who the target customers are
- ✓ how the company reaches them
- ✓ the plan to cover costs and make a profit.

Ex: Traditional Coffee Shop

What is a Digital Business Model?

A **digital business model** uses digital technologies to create, deliver, and/or capture value.

Examples:

- E-commerce
- Online marketplaces
- Digital subscriptions
- Mobile applications
- Cloud services
- Digital content
- Online platforms

- Digital business does not necessarily mean that the product itself is digital.

For example:

- Daraz → physical products + digital platform
- Uber → physical transportation + digital platform
- Airbnb → physical accommodation + digital platform

The **digital component changes how value is created and delivered**.

Traditional VS Digital Business Models

Dimension	Traditional Model	Digital Model
Customer interaction	Mainly physical	Mainly digital/omnichannel
Market reach	Often geographically limited	Potentially global
Distribution	Physical channels	Digital + physical/logistics
Operating hours	Often limited	Often 24/7
Customer data	Relatively limited	Large volumes of behavioral data
Personalization	Limited	Highly personalized
Scalability	Often requires physical capacity	Often highly scalable
Intermediaries	Traditional distributors/retailers	Digital platforms/marketplaces
Revenue models	Sales, wholesale, retail	Subscription, commission, advertising, freemium, etc.
Customer feedback	Relatively slow	Often real-time

What is an E-Business Model?

An **e-business model** describes how an organization uses electronic networks and digital technologies to conduct business activities and create value.

E-Business can include:

- ✓ Buying and selling
- ✓ Marketing
- ✓ Customer service
- ✓ Procurement
- ✓ Supply-chain management
- ✓ Electronic payments
- ✓ Partner collaboration
- ✓ Business information exchange

Categories of E-Business Models

- Business-to-Business (B2B)
- Business-to-Consumer (B2C)
- Consumer-to-Consumer (C2C)
- Consumer-to-Business (C2B).
- Business-to-Administration (B2A)
- Consumer-to-Administration (C2A)

Digital Business Models Cont..

- **Platform based Business Models**

A **digital platform** is a digital service that facilitates interactions between **two or more distinct but interdependent groups of users**.

Examples: Daraz, Uber, Airbnb

- **Subscription Business Model**

A **subscription model** charges customers a recurring fee for continued access to a product or service.

Examples: Streaming services, cloud services, online learning platforms, digital newspapers

Digital Business Models Cont..

- **Freemium Business Models**

Customers receive a basic version for free, while advanced features require payment.
Examples: software applications

- **On-Demand Business Model**

An **on-demand model** provides a product or service when the customer requests it.
Examples: Ride-hailing, Food delivery, On-demand home services, Cloud computing resources

Marketplace Business Model

A **marketplace model** creates a digital environment where multiple buyers and sellers can interact.

Marketplace revenue can come from:

- Commission
- Transaction fees
- Seller fees
- Advertising
- Premium seller services

Example: Daraz

Digital Value Creation

What is Value?

Value is the benefit that a customer receives from a product, service, or experience relative to what they give up to obtain it

Digital businesses can create value through:

- Information
- Convenience
- Personalization
- Speed
- Connectivity, automation, data analytics, network effects

What is digital value chain?

A **value chain** represents the activities through which an organization creates value for customers.

- Customer interactions generate data, which can be analyzed to improve products and services.
- Data generated by customers can become an input into future value creation.

Supplier –> Digital Inventory System –> Online Marketplace –> Personalized Recommendations

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Online Order

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Digital Payment

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Logistics / Delivery

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Customer

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Ratings & Reviews

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Customer Data

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Analytics

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Improved Recommendations

Network Effect

A **network effect** occurs when the value or usefulness of a product/service changes as the number of users changes.

- **Direct Network Effect**

A **direct network effect** occurs when the value to a user increases as **more users of the same type** join the network.

- **Indirect Network Effect**

An **indirect network effect** occurs when the value for one group increases because the number of users in **another group** increases.

Thank you… !